BAA1019 - Business Strategy

Summer Paper

Name: Martinas Jucys Brady

Student Number: 22330516

Date: 9th April 2026

Word Count: 3,224 words

PLAGIARISM DECLARATION FORM

Academic dishonesty may be defined as any attempt by a student to gain an unfair advantage in any assessment. It may be demonstrated by one of the following:

- **Collusion: the representation of a piece of unauthorized group work as the work of a single candidate.**
- **Commissioning: submitting an assignment done by another person as the student's own work.**
- **Duplication: the inclusion in coursework of material identical or substantially similar to material which has already been submitted for any other assessment within the University.**
- **False declaration: making a false declaration in order to receive special consideration by an Examination Board or to obtain extensions to deadlines or exemption from work.**
- **Falsification of data: presentation of data in laboratory reports, projects, etc., based on work purported to have been carried out by the student, which have been invented, altered or copied by the student.**
- **Plagiarism: the unacknowledged use of another's work as if it were one's own.**
- **Examples are verbatim copying of another's work without acknowledgement; paraphrasing of another's work by simply changing a few words or altering the order of presentation, without acknowledgement.**

Please tick

- ✓ **I know that plagiarism is wrong. Plagiarism is using someone else's work and pretending that it is my own.**
- ✓ **This submission is entirely my own work.**
- ✓ **Each contribution to, and quotation in this submission which is taken from the work or works of other people, has been cited correctly.**
- ✓ **I have not allowed, and will not allow, anyone to copy my work with the intention of passing it off as his or her own work.**
- ✓ **I acknowledge that copying someone else's assignment or essay, or any part of it is wrong.**
- ✓ **I acknowledge that the assessor of this submission may reproduce this assessment item and may provide a copy of it to another member of the University. A copy of this assessment item may also be sent to a plagiarism checking service (which may then retain a copy of the assessment item on its database for the purpose of future plagiarism checking).**

I certify that I have read and understood the University Rules in respect of plagiarism and student misconduct. www.dcu.ie/registry/examinations/plagiarism.shtml

Signed: Martinas JB **Name: Martinas Jucys Brady**

Student Number: 22330516 **Date: 09/04/2026**

Appendix A: Generative AI Declaration Statement

Declaration Statement

Please tick the appropriate box relating to your use of Gen AI tools for module Business Strategy (BAA1019) A.

☐ I <u>did not</u> use any Gen AI tools (including for editing and proofreading) in the completion of this assignment B.

✓ I <u>did</u> use Gen AI tools in the completion of this assignment.

Signature: Martinas Jucys Brady Martinas JB

Date: 09/04/2026

Appendix B: Template for Reporting of Gen AI Tool Use in Assignments

Tools: Clearly indicate the tool name and model (or version) you used and the date(s) of use. If you used a tool multiple times, provide the range of dates over which the tool was used and the model/versions used.	***Example:*** ***Google Gemini, 2.0 Flash, used between 08/01/2025 and 25/03/2025***	Perplexity AI used between 01/04/2026 and 07/04/2026
Outputs: Specify what tool outputs were generated and used by you and for what purpose.	***Example:*** ***I used (tool name) to create summaries of articles in order to ascertain their relevance for further inclusion in my reading list and literature review.***	I used Perplexity AI to summarise papers and articles to refresh my memory on the topics and allow me to judge whether a paper was relevant or not.
Prompts: Provide a record of the prompts you used here or link to an appendix where the prompts used are listed.	***Example:*** ***I asked Gemini to "Summarise this article for me, highlighting the most important points". The summary was then used to categorise the articles according to the categories mentioned above.***	I asked Perplexity AI to "Make a summary of this paper, breaking it down into key topics with a clear and concise 2 sentence explanation for each." The summaries allowed me to judge their relevance and understand the different perspectives I should take for the assignment. Sometimes I would prompt the AI to give shorter more concise summaries and then go into more detail about specific areas of said paper.
Iterations: Provide some commentary on the number and type of iterations. This can be linked to your report on prompts and outputs above.	I was able to go through 20+ papers in the space of a week. I caught the AI making things up multiple times, I made sure to double check definitions and frameworks.	

Q1.

What are the key strategic issues that Lyten is presented with in the case above?

<u>Introduction</u>

Lyten faces multiple key strategic challenges when it comes to the acquisition of Northvolt's assets. Here five key issues are identified and analysed: integration risk, international complexity, stakeholder alignment, dynamic capabilities and strategic focus. Lyten must take direct action to address these issues and transform Northvolt's assets into a competitive advantage.

<u>Issue 1: Integration Risk</u>

The first issue that Lyten is presented with is that of post-acquisition integration. Acquisitions commonly fail during integration, where systems and cultures must align, and not when the deal is made (Christensen et al., 2011). Lyten inherits Northvolt's disrupted Swedish infrastructure, Chinese machinery with many issues and a history of failure through mismanagement and poor production metrics. Success with respect to this issue requires the stabilisation of operations, retention of key skilled staff and rebuilding an efficient work culture (Bauer and Matzler, 2014; Rouzies et al.,2019). Without rapid operational recovery, the acquired assets risk becoming liabilities rather than a source of competitive advantage.

<u>Issue 2: International Complexity</u>

Lyten also faces the issue of international complexity. They must already manage assets across Sweden and Germany, with plans to expand into Canada as well. Each location also has distinct operational expectations and governmental regulations. Through the Uppsala model it is clear than firms internationalise more effectively through incremental learning rather than rapid cross-border expansion (Johanson and Vahlne, 2009). This rapid expansion into various markets opens the door for increased uncertainty over success. Mudambi (2008) strengthens this argument by highlighting the advantages and disadvantages firms gain when prioritising local operations stabilisation and spreading operations geographically. Reliability at a local level with strong core strategic operations must be prioritised over expansion at scale, as spreading operations across multiple locations risks spreading management thinly and the misalignment between strategic goals.

Issue 3: Stakeholder Alignment

The third issue encompasses stakeholder alignment. Lyten's success is as much dependant on stakeholder relationships as maximising profits. Government bodies must grant approvals, rehired employees must feel secure and customers must trust manufacturing capabilities. Managing stakeholder relationships is much more than just financial performance, but about setting clear objectives that align with stakeholders (Freeman and McVea, 2001). Without rebuilding stakeholder relationships, operations stabilisation will fail. Stakeholder misalignment causes regulatory blocks, labour shortages and lost contracts.

Issue 4: Dynamic Capabilities

Lyten must also take advantage of the situation of Northvolt's bankruptcy by taking the underperforming assets and creating value from them. Purchasing these assets at a heavily discounted rate also could appear to be a benefit if used correctly. They must be able to integrate, build and reconfigure these assets to address the objectives set by Lyten, where product range expansion is highlighted (Teece et al., 1997). This issue isn't just about buying the assets at a discounted price but being able to transform them to fit a system with increased efficiency and effectiveness. Lyten inherits Northvolt's production failures and difficult history. Without optimal dynamic capabilities, Lyten's newly acquired assets remain liabilities rather than adding competitive advantage.

Issue 5: Strategic Focus

Lyten must maintain a grounded and clear strategic focus. A balance must be found with the production of lithium-ion battery for EVs and the development of lithium-sulphur batteries for drones and data centres. Through this a tension is created between exploiting existing operations and exploring disruptive innovation. A balance must be found in the allocation of resources between current and future operations (March, 1991). If Lyten emphasises the production of the lithium-sulphur batteries, then they risk diverting much needed resources and attention from the inherited lithium-ion battery production.

Conclusion

All of these strategic issues that Lyten are presented with are interlinked risks, with integration and strategic focus being of the most important. Lyten will be rewarded with success by prioritising stakeholder alignment and setting a clear and efficient strategy. They must stabilise operations and avoid the overexpansion of operations (production-wise and geographically) if they do not want to replicate the failures of Northvolt.

Q2.

Does Lyten's cross-border expansion reflect a coherent internationalisation strategy or premature global scaling without operational stability, and how should it sequence and structure its international expansion to succeed? Justify your answer with reference to supporting business and case literature.

Introduction

The aggressive acquisition of Northvolt's assets presents itself as an ambitious attempt to bypass traditional market entry barriers but also shows clear characteristics of premature global scaling rather than a coherent internationalisation strategy. Elements of a "born global" firm are present as Lyten are asset and market seeking but the lack of operational stability is obvious. Lyten is acquiring numerous production liabilities without proven resolutions. To avoid the same failures as Northvolt, Lyten must move from a rapid expansion approach to one that is disciplined and phased. Success depends on the prioritisation of stabilising Swedish operations to create a reliable foundation for further global growth.

Analysis

Through the Uppsala model it is clear than firms internationalise more effectively through incremental learning rather than rapid cross-border expansion (Johanson and Vahlne, 2009). Lyten clearly violates this principle by only just acquiring Northvolt's assets but already pushing for expansion and more investment into Germany and Canada.

Northvolt's failure was largely due to not being able to produce stable yields due to mismanagement and flawed machinery. These issues need to be analysed closer as it cannot be certain that these issues have been resolved. CEO Dan Cook stated that management "for the most part" fixed the issues prior to the bankruptcy and that operations "should be profitable". These statements must be met with scepticism as "mostly" and "should be" cannot be taken as indicators of true operational efficiency. Rapidly expanding before proving the new Lithium-Sulphur batteries at scale bypasses important aspect of learning through experience, which is required to turn failed assets into a competitive advantage.

The application of Ghemawat's (2001) CAGE framework also highlights cultural, administrative, geographic and economic coordination risks that Lyten faces.

Cultural

Obvious cultural differences exist between California and Sweden. California possesses a strong "Silicon Valley" start-up culture where rapid innovation and growth is welcomed. On the other hand labour practises in Europe, specifically Sweden and Germany, are deeply industry stability focused (Hems, 2025). This presents the risk that Lyten are taking by rehiring Northvolt's employees, as "mismanagement" could yet again crop up through a cultural clash.

Administrative

Regulatory environments must also be considered as Lyten will constantly need to seek approval from governmental bodies. This means that Lyten will need expertise in local legal procedures and political operations. For instance, the EU have implemented strict regulations on batteries placed on the EU market, ensuring that batteries are sustainable throughout their life cycle (EU Regulation, 2023). Environmental and labour laws are both areas which need more attention and thus could take away from managerial focus.

Geographic

The distance between California and Europe is immense and can lead to many logistical oversights. Mudambi (2008) warns that spreading management too thinly across vast areas leads to loss of managerial control and reduced innovation. It may be difficult for Lyten to efficiently assess operations and problems when they do arise.

Economic

Lyten is moving from focusing on R&D into capital intensive manufacturing. Mikael Kubu also stated that the "extremely costly" maintenance of the huge facilities imposes large amounts of financial burden, which may go beyond usual startup scaling costs. Without proven economies of scale in the new battery technology, they risk repeating the same issues that Northvolt faced(high costs and low yields).

Lyten’s strategy also holds a resemblance to a "Born Global" approach (Oviatt and McDougall, 1994). This observation stems from the idea that modern MNE's succeed through knowledge-based resources and strategical agility (Knight et al., 2025). Lyten does possess the knowledge-based resources in the batteries, but it lacks when it comes to strategical agility due to operational constraints. Lyten cannot perform with such this “Born Global” approach due to problematic infrastructure, customer security and operational efficiency.

Lyten must demonstrate dynamic capabilities by integrating, building and reconfiguring their new assets to address the changing objectives set (Teece et al., 1997). Merger and acquisition value is created through integration and not just getting a good deal (Christensen et al., 2011). By expanding before stabilisation, they risk the repetition of Northvolt's failure. This misalignment of internationalisation ambition and organisational capabilities gives the suggestion that Lyten are scaling far beyond what they should.

Sequence

To achieve success Lyten must adopt a disciplined and phased approach by taking inspiration from McKinsey's Three Horizons framework to balance ambitions and capabilities.

Horizon 1

The priority in this stage must be the Swedish operations. Lyten must focus on making sure machinery is efficient, yields are boosted to profitable levels and the rehiring of skilled staff. By ensuring efficiency and generating "cash today" through Lithium-ion production, a stable income is secured in order to fund further innovation. No further geographic expansion should take place until Swedish operations are stabilised and income is secured.

Horizon 2

Once Swedish operations are stable "growth tomorrow" can take place, where the German assets can be activated. This allows for a lower "psychic distance" as knowledge transfer takes place between Sweden and Germany and not California (Johanson and Vahlne, 2009). Lithium-Sulphur battery production for drones and data centres should be increased by leveraging the dynamic capabilities developed from Horizon 1.

Horizon 3

Once success is reached in Europe Lyten can "create future options", by activating large scale Canadian expansion. This moonshot should be treated as a long-term option that is only triggered when all other operations are stable, efficient and reliable.

To aid this 3 Horizon approach Lyten needs to ensure that internal efficient structure is present. This can be done by allowing Sweden to be the central production and knowledge hub, with facilities in other countries acting as extensions. This ensures that managerial focus and standards are maintained throughout all operations. Lyten could also consider a Joint Venture into the Canadian market to mitigate the liability of foreignness and share financial burdens.

Conclusion

Lyten's expansion is a current case of premature scaling that risks the same failures that were experienced by Northvolt. Primarily the overexpansion of operations before operational stability. Lyten have assumed that purchasing a "deeply discounted" asset leads to a clear and stable strategy. In order to not replicate Northvolt's shortcomings, Lyten must replace its rapid expansion approach to one with a structured and incremental approach. Through McKinsey's Three Horizons framework Lyten can stabilise Swedish operations before expanding into Germany and Canada. This will allow Lyten to efficiently transform from a start-up into an established market leader. The understanding that speed does not lead to success needs to be made clear, but the ability to make the most of dynamic capabilities. Only then will Lyten's ambitious objectives be met by a coherent strategy.

Q3.

Evaluate the trade-off between geopolitical alignment and commercial flexibility presented in the case. Does Lyten's reliance on state-level support and "local supply chains" act as a sustainable barrier to entry, or does it create an "institutional dependency" that limits long term strategic autonomy? Justify your answer with reference to supporting business and case literature.

Evaluation of Trade-Offs: Geopolitical Alignment v. Commercial Flexibility

One key observation of Lyten's acquisition of Northvolt is that they've sacrificed commercial flexibility for immediate geopolitical alignment. By stepping up and positioning itself as the direct solution to national energy secure, Lyten has strategically aligned with the needs of large companies and governments to secure "customer support in the US and in Europe". Chief Executive Dan Cook's statement of it is "incredibly important from a national security standpoint" strengthens this observation of Lyten transforming from a start-up into a strategic national asset. Through this Lyten have gained a strong non-market-associated advantage of acquiring Northvolt's assets at a "deeply discounted price". This has granted them a foundation in the European markets that regular firms would rarely get the chance to acquire.

Geopolitical Alignment

Deglobalisation has led to the battery industry shifting from a commercial sector to one that receives a geopolitical spotlight. Lyten's strategic approach of "strengthening national security" has aligned them with objectives set by governments globally. This is the primary reason that Lyten were able to take over Northvolt's assets for a discount in the first place. Lyten provides the likes of Germany and Sweden with a second chance of national energy security. Lyten have been able to benefit from this by being given entry into a market with immense barriers with the combination of state backing and customer loyalty.

Commercial Flexibility

Showcasing themselves as the provider of local supply chain security comes at the cost of commercial flexibility. By issuing this promise of building local supply chains and localising production, Lyten have surrendered their flexibility in manufacturing through low-cost global resources. Firms entering markets usually aim to minimise all costs, whether that be through cheaper resources, machinery or even labour from countries like China. However, Lyten have now identified themselves as being driven by improving local operations and obtaining resources from cheap suppliers would threaten their customer and governmental relationships.

Now Lyten has attached itself to high-cost resource and labour markets with the rigid regulations of Europe. The dedication to local manufacturing also means that Lyten cannot just restructure operations if costs rise. Global rivals have this commercial flexibility of being able to shift their supply chains to follow lower costs, but Lyten has locked itself into this geographic and political agreement. Lyten cannot act with the flexibility that is required in high growth technology sector start-ups, as every strategic change requires government approvals and considerations for stakeholders.

Through a PESTEL analysis, PSEL (Political, Social, Environmental and Legal) factors can be contrasted with ET (Economic and Technological) factors. PSEL factors act as motivators, but ET factors can cause major setbacks.

Political, Social, Environmental and Legal Factors

Lyten's strategy is currently heavily motivated by these factors, as they are all heavily grounded in the local supply chain security approach that Lyten have taken. They have dedicated themselves to being a provider of national security, so this means that Lyten may have turned away from being profit-driven but instead being risk minimisation-driven. Acting with this strategy gives Lyten access to subsidies and discounted infrastructure, but exposure to political and legal risk becomes larger.

Economic and Technological Factors

These factors encompass real world issues within this industry. The battery market is driven by the capacity to produce at large volumes with low margins, meaning that efficiency is key to success. Committing to costly European operations means that Lyten could face a long list of future problems if operations don't run efficiently. Their acquired infrastructure is already "extremely costly just to maintain", so without the flexibility of being able to source cost-effective machinery and resources Lyten could be faced with immediate issues meeting optimal production yields.

Beneficial Sustainable Barriers or Creation of Institutional Dependency

Lyten's strategy can be interpreted as both a sustainable barrier to entry and a creator of institutional dependency. Whether one outweighs the other largely comes down to whether Lyten can effectively balance state support and operational autonomy.

Sustainable Barrier

Using the VRIO framework, it is evident that Lyten's approach to securing local supply security has become a Valuable and Rare resource in the geopolitical environment that surrounds it. This environment is constantly bombarded with global supply chain uncertainty, so major customers in this market are no longer looking for the cheapest option but looking for the one that has the safest supply. Lyten's dedication to securing the local supply chain allows them to provide a minimal risk option to customers. Whether their approach is Inimitable or Organised is a different story. With enough funding competitors could replicate their strategy for smaller regions if necessary, and Lyten may not show the required organisation levels to truly exploit their opportunities.

This barrier is also strengthened by Porter's Five Forces, where:

Threat of New Entrants

Using their strategy ensures that a new entrant would need immense capital and reputational trustworthiness to gain any sort of foundation in this market. It would be a rare occurrence for any other company to even get a similar opportunity to Lyten again, the ability to acquire a firm's positioning, like Northvolt, in the industry.

Bargaining Power of Buyers

Volkswagen Group and Scania are obviously high profile, powerful buyers but their options are limited by their own needs of local supply chain security. Northvolt's previous customers are essentially locked into business with Lyten because there are so few suppliers capable of meeting these security requirements.

Bargaining Power of Suppliers and Threat of Substitutes

Chinese battery manufacturers act as both a substitute threat and an alternative supplier. Chinese battery manufacturers have the power to reduce prices further to incentivise purchasing their products. There is also the presence of new and ever innovating battery technology, like that of Lithium-Sulphur that Lyten already plan to expand into, that threaten the market on a regular basis.

Industry Rivalry

Lyten has strategically aligned themselves with a security-aligned niche that has partially allowed them to exit any possibility of a price war with Chinese rivals. Lyten's model builds their appearance of being trustworthy and reliable, allows them to target drone and data center customers, and makes it immensely difficult for rivals to compete on the same level.

<u>Institutional Dependency</u>

In contrast, this strategy also creates a risk of Institutional Dependency. This can be observed through the Resource Dependence Theory (Pfeffer et al., 1978), where organisations are never truly autonomous but always rely on external resources that in turn influence their strategic behaviours. Lyten currently shows a dependence on resources which are out of its own control in subsidies and approvals.

This creates a power dynamic where governments control critical resources and thus hold significant power over Lyten's strategy. Through Resource Dependence Theory, this interdependence means that Lyten no longer has the ability to act in its own best interest. For instance, if costs become too high Lyten cannot, for example, close an inefficient facility, as the government could reject this proposal due to Lyten's commitment to local development. Lyten is institutionally dependent because its survival is directly tied to government policies and regulations rather than the supply and demand factors of the market.

Bankruptcy trustee Mikael Kubu clearly stated that these facilities are "extremely costly to maintain". This means that if Lyten fails to quickly achieve high yields, they could be forced to turn to government bodies for financial help. This creates a cycle of dependency where the company becomes heavily influenced and monitored by the government rather than being risk taking, innovative company.

Northvolt's Failure

Northvolt raised more capital than any other private company in Europe and had massive state level support but somehow it still went bankrupt. The limits of institutional dependency must be considered by Lyten. Geopolitical alignment and large amounts of capital essentially do not guarantee success. Lyten acquiring the mismanaged and flawed infrastructure of Northvolt should also be highlighted as an issue that should be addressed immediately.

Northvolt's example, may actually highlight that state level support could mask operating issues. Capital may have been easy to access and led to Northvolt's neglection of maximising production yields. If Lyten burns through its initial available capital without fixing existing issues, then they could find themselves facing low industrial flexibility and strict governmental supervision.

Conclusion

Lyten's reliance on state-level support and local supply chains acts as a sustainable barrier in the short-term by providing themselves with protection from competitors and the ability to enter a high barrier market at a discounted rate. However, their strategy also creates institutional dependency that threatens their long-term industrial flexibility.

Lyten's future success doesn't rely on government support but on their ability to stabilise factors that Northvolt have ignored. Strategic autonomy will only be achieved when Lyten's innovation becomes so essential to national energy security that the economy relies on Lyten for economic growth, rather than Lyten relying on them for operational security. Lyten can only transform itself into a global superpower by mastering dynamic capabilities and perfecting their Lithium-Sulphur batteries.

Bibliography

Bauer, F. and Matzler, K. (2014) 'Antecedents of M&A success: The role of strategic complementarity, cultural fit, and degree and speed of integration', *Strategic Management Journal*, 35(2), pp. 269–291. Available at: https://doi.org/10.1002/smj.2091.

Christensen, C. *et al.* (2011) 'The New M&A Playbook'.

EU Regulation (2023) *Regulation (EU) 2023/1542 of the European Parliament and of the Council of 12 July 2023 concerning batteries and waste batteries, amending Directive 2008/98/EC and Regulation (EU) 2019/1020 and repealing Directive 2006/66/EC (Text with EEA relevance)*, *OJ L*. Available at: http://data.europa.eu/eli/reg/2023/1542/oj (Accessed: 2 April 2026).

Freeman, R. and McVea, J. (2001) 'A Stakeholder Approach to Strategic Management', *SSRN Electronic Journal* [Preprint]. Available at: https://doi.org/10.2139/ssrn.263511.

Hems, N. (2025) *Bridging Two Worlds: A Comparison of Startup Ecosystems in Germany and Silicon Valley | UC Berkeley Extension | Voices*. Available at: https://voices.berkeley.edu/international/bridging-two-worlds-comparison-startup-ecosystems-germany-silicon-valley (Accessed: 4 April 2026).

Johanson, J. and Vahlne, J.-E. (2009) 'The Uppsala internationalization process model revisited: From liability of foreignness to liability of outsidership', *Journal of International Business Studies*, 40(9), pp. 1411–1431. Available at: https://doi.org/10.1057/jibs.2009.24.

Knight, G., Khan, Z. and Nummela, N. (2025) 'Born globals, international new ventures, and international entrepreneurship: Reflections and a research agenda', *International Business Review*, 34(4), p. 102421. Available at: https://doi.org/10.1016/j.ibusrev.2025.102421.

March, J.G. (1991) 'Exploration and Exploitation in Organizational Learning', *Organization Science*, 2(1), pp. 71–87. Available at: https://www.jstor.org/stable/2634940 (Accessed: 2 April 2026).

Mudambi, R. (2008) ‘Location, control and innovation in knowledge-intensive industries’, *Journal of Economic Geography*, 8(5), pp. 699–725. Available at: https://www.jstor.org/stable/26161288 (Accessed: 3 April 2026).

Oviatt, B.M. and McDougall, P.P. (1994) ‘TOWARDA THEORY OF INTERNATIONALNEW VENTURES’, *JOURNAL OF INTERNATIONALBUSINESS STUDIES* [Preprint].

Pfeffer, J., Salancik, G., and Robert N. Stern (1979) ‘The External Control of Organizations: A Resource Dependence Perspective.’, *Contemporary Sociology*, 8(4), p. 612.

Rouzies, A., Colman, H.L. and Angwin, D. (2019) ‘Recasting the dynamics of post-acquisition integration: An embeddedness perspective’, *Long Range Planning*, 52(2), pp. 271–282. Available at: https://doi.org/10.1016/j.lrp.2018.03.003.

Teece, D.J., Pisano, G. and Shuen, A. (1997) ‘Dynamic Capabilities and Strategic Management’, *Strategic Management Journal*, 18(7), pp. 509–533. Available at: https://www.jstor.org/stable/3088148 (Accessed: 2 April 2026).